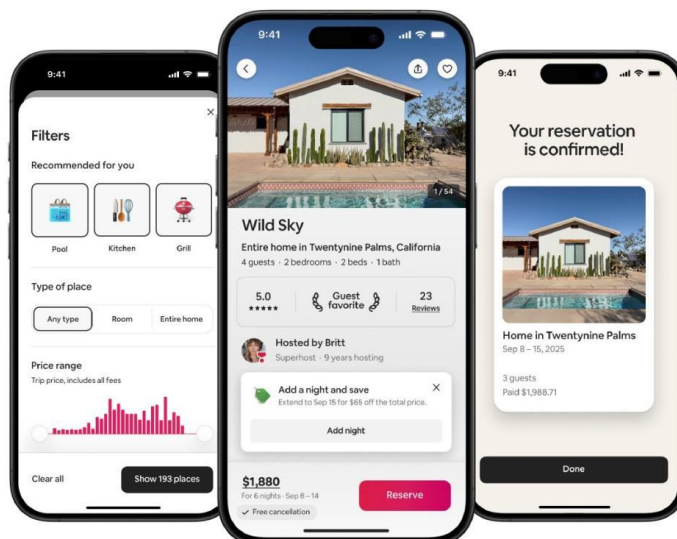


Digital Blue Ocean Strategy—using digital technology to **create a new market space** rather than simply competing with existing businesses on the same factors.

The key tool is the **Four Actions Framework**:

Eliminate → Reduce → Raise → Create

1. Airbnb — Redefining Accommodation





Before Airbnb, accommodation competition was dominated by hotels and resorts.

Traditional model:

Hotel building → Hotel room → Guest

Airbnb created a different model:

Homeowner → Digital platform → Traveller

Four Actions Framework

Action	What Airbnb did
● Eliminate	Need for every accommodation provider to own/build a hotel
● Reduce	Dependence on physical hotel infrastructure and traditional booking processes
● Raise	Variety of accommodation choices, customer reviews and convenience
● Create	A peer-to-peer marketplace where ordinary people can become accommodation hosts

Why is this "Blue Ocean"?

Airbnb did not simply build another hotel chain.

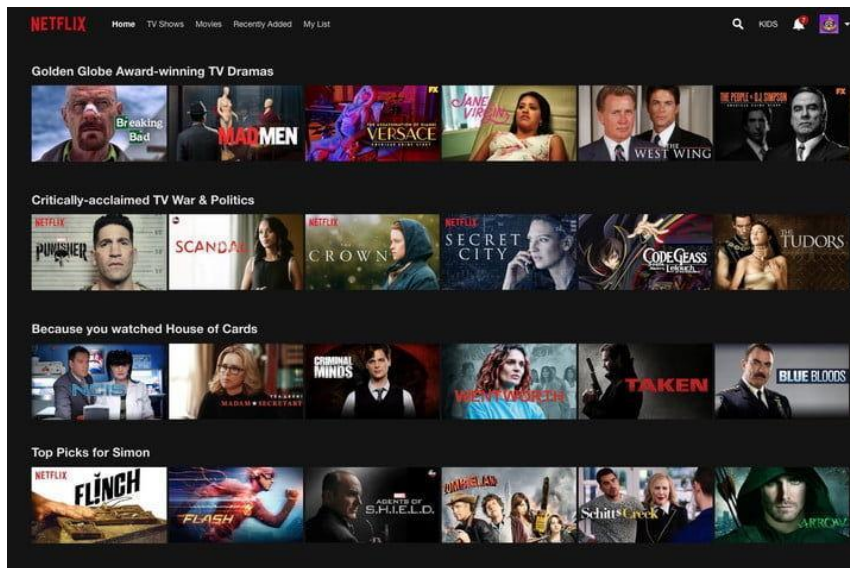
It created a **digital marketplace connecting unused accommodation with people looking for places to stay.**

Student takeaway

Airbnb used a digital platform to turn underutilised resources—people's homes—into a new source of accommodation.

2. Netflix — Changing How People Consume Entertainment





The traditional video-rental model required customers to visit a physical store and rent DVDs.

Netflix progressively moved toward:

Internet → Streaming platform → Customer

Four Actions

Action	Netflix example
● Eliminate	Physical store visits and physical DVD handling for streaming customers
● Reduce	Waiting time and dependence on physical inventory
● Raise	Convenience, content accessibility and personalisation
● Create	On-demand streaming and algorithm-based recommendations

Example

Traditional:

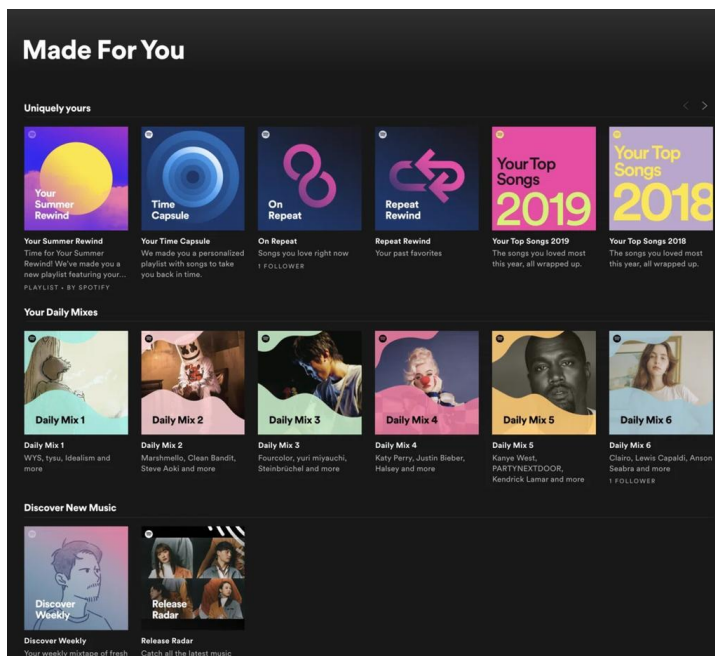
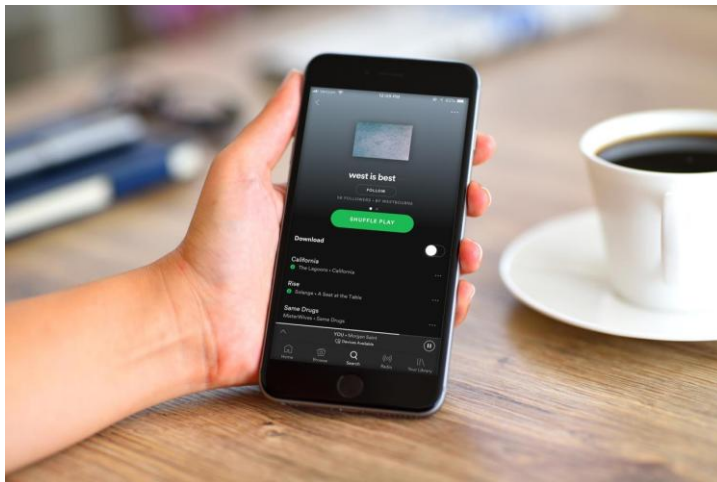
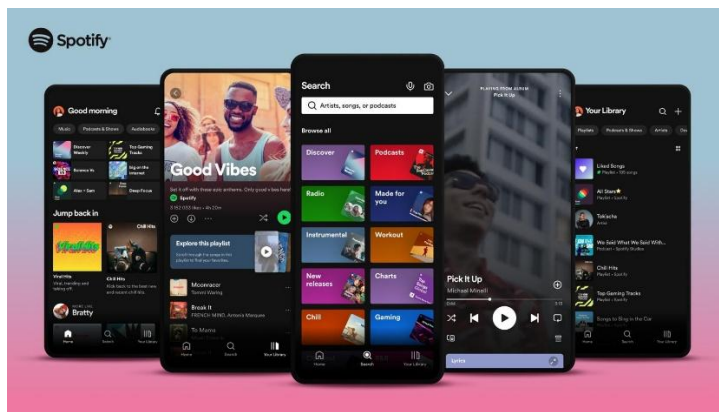
"I need to go to the video store to rent a movie."

Netflix:

"I can watch it immediately from home."

The **customer value curve changed** from physical access to **digital, on-demand access**.

3. Spotify — Changing the Way People Access Music



Traditional music consumption involved:

Buy CD → Own music → Play CD

Spotify changed the model to:

Subscribe/use service → Stream music → Personalised experience

Four Actions

Action	Spotify example
● Eliminate	Need to purchase individual physical albums
● Reduce	Cost and effort associated with acquiring individual songs
● Raise	Convenience, music discovery and personalisation
● Create	On-demand streaming, personalised playlists and algorithmic recommendations

New value created

Spotify doesn't just provide songs.

It can provide:

Music + discovery + recommendations + playlists + social sharing

The digital technology creates a much broader customer experience.

4. Grab — Creating an Integrated Digital Service Ecosystem



Grab is an excellent example for students because it demonstrates **multiple digital services being combined into one ecosystem.**

Originally, ride-hailing solved:

"How do I get a ride?"

The broader digital ecosystem can address:

"How do I move, eat, pay and access services?"

Four Actions

Action	Grab example
 Eliminate	Traditional street-hailing and some manual booking processes
 Reduce	Waiting time, uncertainty about fares and cash handling
 Raise	Convenience, tracking, transparency and personalised services
 Create	Integrated digital ecosystem for mobility, food delivery, payments and other services

Example

Traditional taxi:

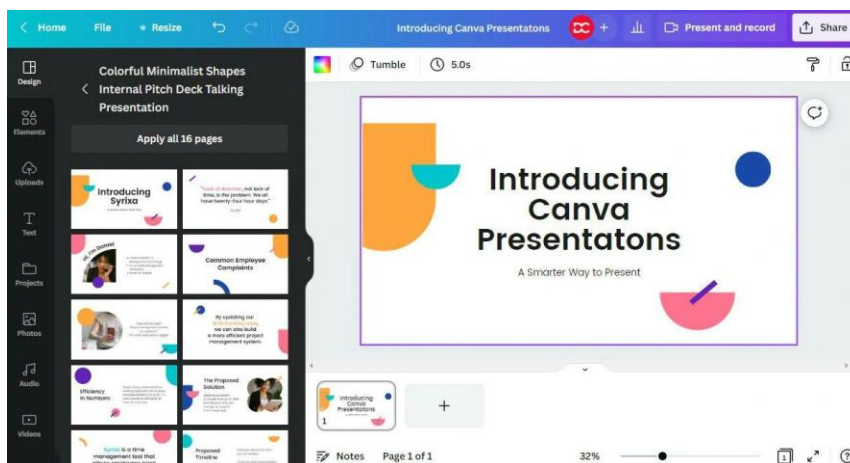
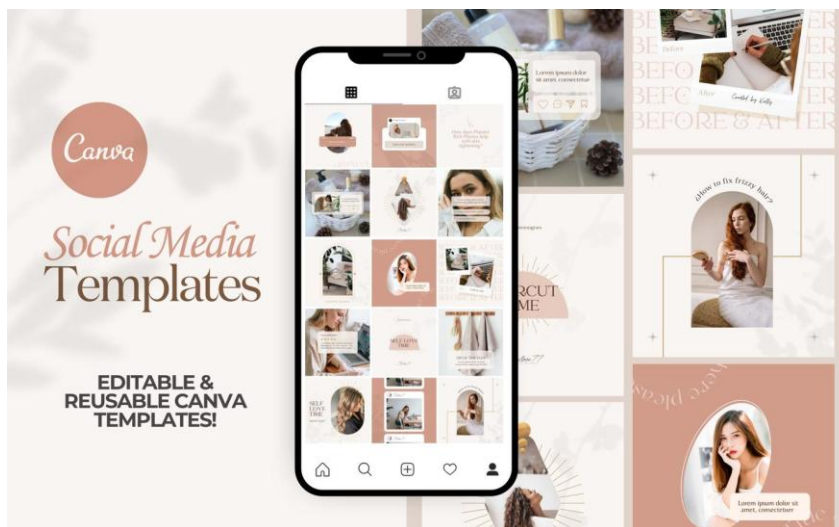
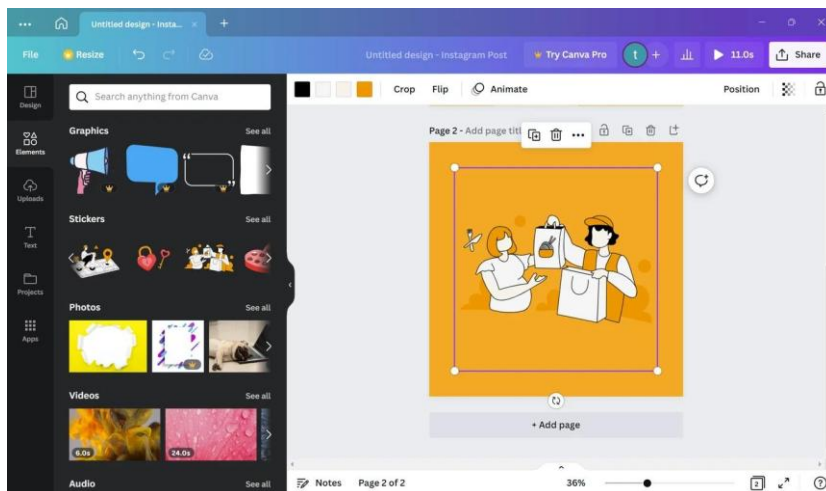
Stand by roadside → Find taxi → Negotiate/estimate fare → Ride → Pay

Digital:

Open app → Select destination → See estimated fare → Book → Track driver → Digital payment → Rate driver

The **entire customer journey is digitally redesigned.**

5. Canva — Making Graphic Design Accessible



Before easy-to-use online design platforms, professional graphic design could require:

- Specialist software
- Design skills
- Professional designers
- Significant time

Canva changed the value proposition.

Four Actions

Action	Canva example
 Eliminate	Need for advanced design knowledge for many everyday designs
 Reduce	Time and complexity of creating graphics
 Raise	Ease of use, accessibility and template availability
 Create	Self-service online design using templates, drag-and-drop tools and collaboration

Example

A student needs a poster.

Traditional approach:

Learn complex design software → Create design → Export → Print

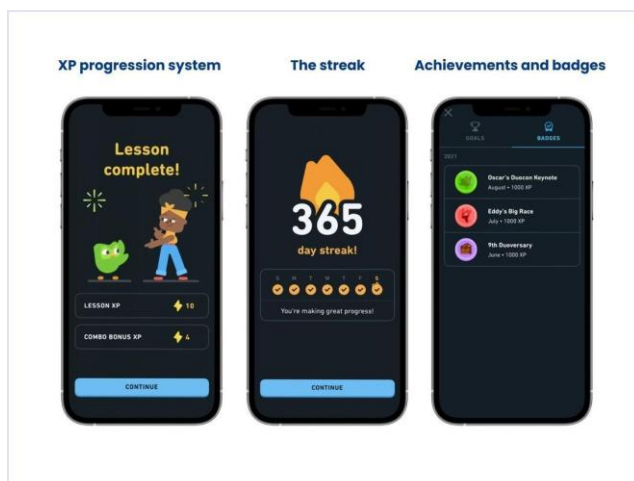
Canva approach:

Choose template → Edit → Download/share

Blue Ocean idea

Canva expanded graphic design from primarily **professional designers** to **ordinary users, students, teachers and small businesses**.

6. Duolingo — Digitalising Language Learning



Traditional language learning might involve:

Classroom → Teacher → Textbook → Scheduled lessons

Duolingo provides:

Smartphone → App → Short lessons → Automated feedback

Four Actions

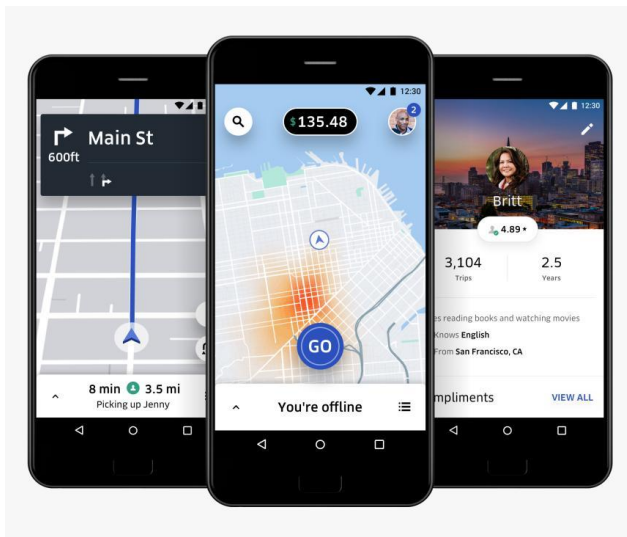
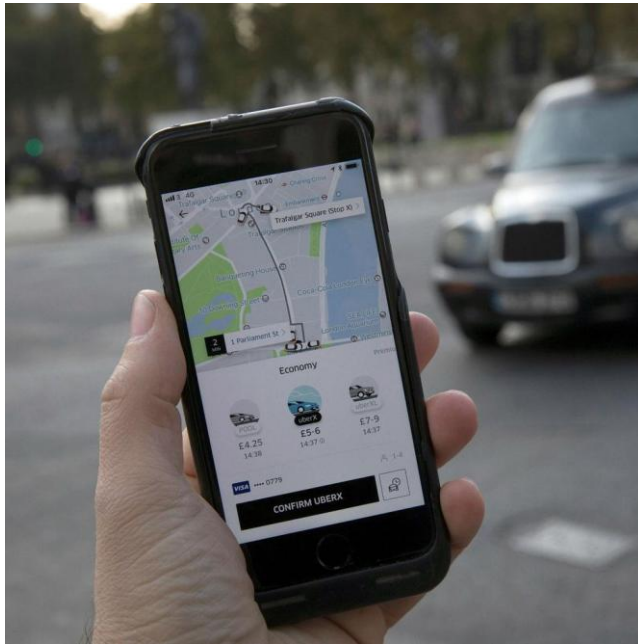
Action	Duolingo example
 Eliminate	Requirement to attend a physical classroom for basic practice
 Reduce	Cost and time commitment
 Raise	Convenience, engagement and accessibility
 Create	Gamified language learning, streaks, points and personalised digital practice

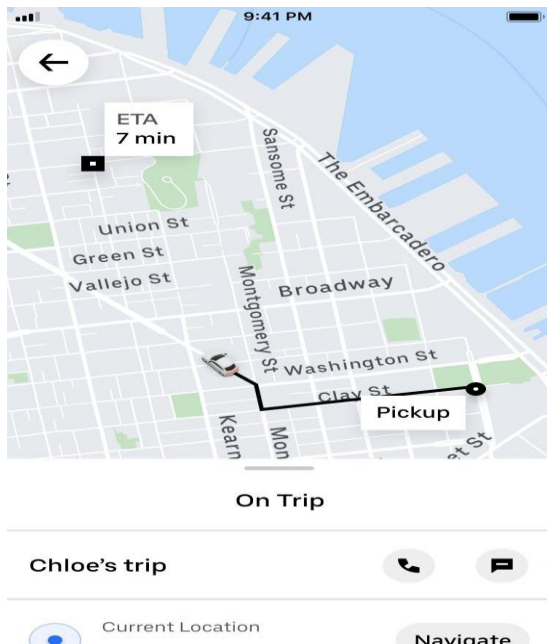
The important innovation isn't simply "**put language lessons online.**"

It is the combination of:

Mobile + AI/data + gamification + freemium + personalised learning

7. Uber — Redesigning Urban Transportation





Uber used a digital platform to connect passengers and drivers.

Four Actions

Action	Uber example
● Eliminate	Some traditional taxi-booking friction
● Reduce	Waiting uncertainty and cash transactions
● Raise	Convenience, visibility, tracking and transparency
● Create	App-based driver-passenger matching and real-time trip tracking

The key digital innovation

The smartphone becomes the **interface connecting supply and demand**.

Driver has available capacity

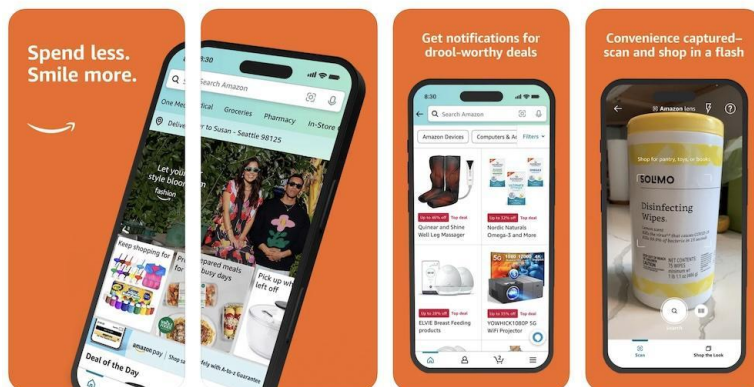
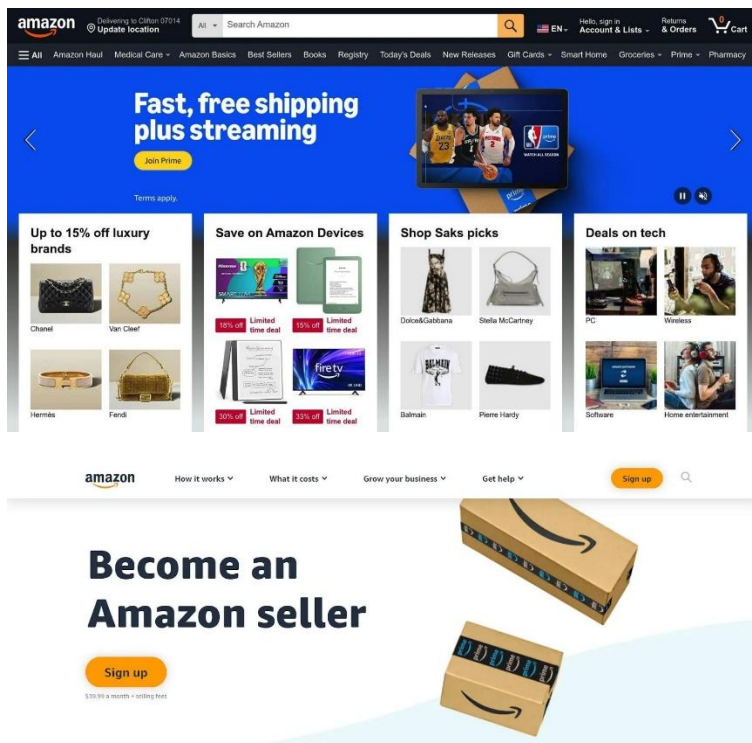
↓

Digital platform

↓

Passenger needs transportation

8. Amazon — From Online Store to Digital Marketplace



Traditional retail:

Manufacturer → Wholesaler → Physical retailer → Customer

Amazon helped transform this into a digital marketplace.

Four Actions

Action	Amazon example
● Eliminate	Need for customers to physically visit many stores
● Reduce	Search and comparison time
● Raise	Product variety, convenience and price comparison
● Create	Large-scale digital marketplace connecting third-party sellers with customers

The important concept is that Amazon isn't simply an **online shop**.

Its platform can connect:

Sellers ↔ Amazon platform ↔ Customers ↔ Logistics/payment ecosystem

An Important Point: Blue Ocean ≠ Just Using Technology

This is a common misunderstanding.

Simply putting an existing service online **does not automatically create a Blue Ocean**.

Example

A restaurant creates a website that displays its menu.

That is:

Digitalisation

But it may not be:

Digital Blue Ocean Strategy

Now imagine the restaurant creates a platform that connects:

Home cooks + customers + delivery riders + local food producers

and allows customers to order personalised meals based on dietary preferences.

That has much greater potential to create a **new value proposition and market space**.

The Four Actions Framework in Simple Terms

Tell students to ask these four questions:

ELIMINATE

What can we completely remove?

Examples:

- Physical paperwork
- Waiting
- Physical branches
- Middlemen
- Complex processes

REDUCE

What can we make less expensive, slower, difficult or inconvenient?

Examples:

- Cost

- Time
- Complexity
- Customer effort
- Transaction friction

RAISE

What should we provide more of than competitors?

Examples:

- Convenience
- Speed
- Personalisation
- Quality
- Transparency
- Customer experience

CREATE

What completely new value can digital technology enable?

Examples:

- On-demand services
- Digital marketplaces
- AI recommendations
- Peer-to-peer services
- Subscription models
- Personalised experiences

A Very Practical Classroom Example

Give students this scenario:

Traditional local restaurant wants to create a Digital Blue Ocean strategy.

Ask them to complete:

Four Actions Student Question

- **Eliminate** What traditional restaurant activities can we remove?
- **Reduce** What customer frustrations can we reduce?
- **Raise** What aspects of customer experience can we improve?
- **Create** What completely new digital service can we introduce?

Possible answer

ELIMINATE

- Paper menus
- Manual reservations
- Cash-only transactions

REDUCE

- Waiting time
- Ordering errors
- Customer effort

RAISE

- Personalisation
- Convenience
- Customer engagement

CREATE

- AI-powered menu recommendations
- Digital loyalty programme
- Real-time order tracking
- Subscription meal plans

- Personalised meal packages

Result

Instead of competing with:

Restaurant A vs Restaurant B vs Restaurant C

the business tries to create a different value proposition:

"A personalised, technology-enabled dining experience."